

THE SESSION · POST-CLOSE READ

Green Beneath *Red* Tape

The index slipped for a second session as communication services and megacap technology led lower, yet both FCI sleeves closed higher — and both closed ahead of the index — on a fourth straight day of firmer crude and a partial unwind of Monday's energy-for-semiconductors rotation.

S&P 500 ▼ 0.33%

NASDAQ ▼ 0.61%

DOW ▼ 0.34%

VIX 15.3

BRENT ▲ \$87

DIVIDEND STRATEGY

▲ BEAT SPY

+0.27%

1-DAY



YTD +23.16% vs DVY +16.99% · SPY +13.60%

GROWTH PORTFOLIO

▲ BEAT IUSG

+0.27%

1-DAY



YTD +20.47% vs IUSG +14.97%

THE SESSION

Both sleeves finished higher on a session the index did not. The S&P 500 closed at 7,727.41, lower by 0.33%, with the Nasdaq off 0.61% and the Dow down 184 points, or 0.34%. Communication services carried the weight, and the megacap technology complex offered no offset. Beneath that, the tape was considerably better than the headline: the Russell 2000 added 0.32%, the VIX settled near 15.3 — a market that is watchful rather than worried — and market breadth outside the largest index constituents was constructive. The Dividend Strategy gained 0.27% and the Growth Portfolio gained 0.27%, a symmetry the two disciplines rarely produce on the same day and one that arrived from opposite directions.

The more useful observation is what happened to Monday's rotation. That session paired a sharp crude repricing with concentrated selling in the AI-semiconductor and mining complex; Tuesday loosened the pair-

ing at both ends. Crude extended a fourth consecutive advance, with Brent near \$87 as Tehran reiterated that the Strait of Hormuz stays closed absent US concessions and Washington signaled a preference for economic pressure over further strikes — yet the energy names that led Monday advanced only modestly, CVX up 0.90% and OKE up 1.31%. Meanwhile the semiconductor holdings that gave ground Monday came back: MRVL 1.80%, NXPI 1.26%, AMD 1.01%, TSM 0.86%, LRCX 1.64%, with QCOM and NVDA effectively flat. Nvidia's announced platform to mobilize more than \$500 billion of third-party capital for compute infrastructure is the visible catalyst; whether treating chips as bankable, long-duration collateral proves durable is a question the next several years will answer, not the next several sessions.

Owning fifty-two businesses across two disciplines is not insurance against a lower index. It is the reason a lower index need not become a lower year.

July CPI arrives Wednesday at 8:30 a.m. Eastern. Consensus looks for a headline gain near 0.1% to 0.2% on the month with the annual rate easing to roughly 3.4% from 3.5%, and core near 0.2% monthly and 2.5% annually. Composition will matter more than the headline, since the crude move that began in late July lands in the data with a lag and the services line carries the weight for the September policy meeting.

We are not positioned for a print. The Dividend Strategy stands at 23.16% for the year against DVY at 16.99% and SPY at 13.60%; the Growth Portfolio stands at 20.47% against IUSG at 14.97%. Those spreads were not built on any single Wednesday, and they will not be settled by one.

FCI HOLDINGS · NOTABLE MOVERS

WINNERS

HUT +3.64% GROWTH

Extended the AI data-center repricing that has followed the Beacon Point leasing announcements, with the compute-infrastructure complex bid across the session.

CRDO +3.23% GROWTH

Recovered Monday's give-back as AI-interconnect names caught a bid on Nvidia's \$500 billion third-party compute-financing platform.

EIX +3.04% GROWTH

Regulated-utility strength as the tape rotated toward rate-sensitive defensives into Wednesday's inflation print; no company-specific release.

DECLINERS

ATAT -4.49% GROWTH

China consumer ADRs traded lower across the board; results are scheduled for August 20 and there was no company-specific news.

YMM -3.61% GROWTH

Moved with the same China internet and logistics complex, which has lagged the US tape for most of the year.

FCX -2.31% GROWTH

Copper and the broader metals complex eased as the dollar firmed into the inflation print.

CEG +2.93% DIVIDEND

Continued digestion of the second-quarter operating beat and raised full-year guidance, alongside further long-term nuclear supply agreements with corporate buyers.

TEL +2.06% DIVIDEND

Connector and sensor demand read through from the AI-infrastructure financing news; the industrial-technology complex outperformed a softer broad tape.

STLD -1.83% DIVIDEND

Steel gave back part of a strong three-month run with no company-specific release; the materials group lagged.

GD -1.03% DIVIDEND

Defense pared Monday's advance as the market read Washington's economic-pressure posture toward Tehran as less kinetic in the near term.

HOLDINGS NEWS

Constellation Energy (CEG) — guidance and contract cadence. The 2.93% advance reflects continued market digestion of an adjusted operating earnings beat and a raised full-year outlook, with accretion from the Calpine integration and further long-term nuclear supply agreements to corporate buyers. GAAP net income declined year-over-year and post-acquisition long-term debt has risen materially

— both worth monitoring — but the contracted, carbon-free baseload franchise is precisely the asset the data-center buildout requires, and it is under long-dated contract.

Hut 8 (HUT) and the compute-financing turn. Hut 8 added 3.64% as the market continued to reprice its pivot from mining toward contracted AI data-center capacity, following the second fifteen-year

lease at the Beacon Point campus in Nueces County, Texas. Read along-side Nvidia’s financing platform, the theme is the same from two direc-tions: compute capacity is being funded and contracted like infrastruc-

ture. Our exposure to it sits in operating businesses with signed coun-terparties, not in the financing structures themselves.

YEAR-TO-DATE STANDING

DIVIDEND STRATEGY

+23.16%

vs DVY +16.99% / SPY +13.60%

GROWTH PORTFOLIO

+20.47%

vs IUSG +14.97%